

Done!

Cambridge
International
AS & A LevelCambridge International Examinations
Cambridge International Advanced Subsidiary and Advanced Level**ECONOMICS**

Paper 1 Multiple Choice (Core)

9708/12**October/November 2015****1 hour**Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)**MODIFIED LANGUAGE****READ THESE INSTRUCTIONS FIRST**

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zarak MVShtaq

A

Solved with reasons!

This document consists of **14** printed pages and **2** blank pages.

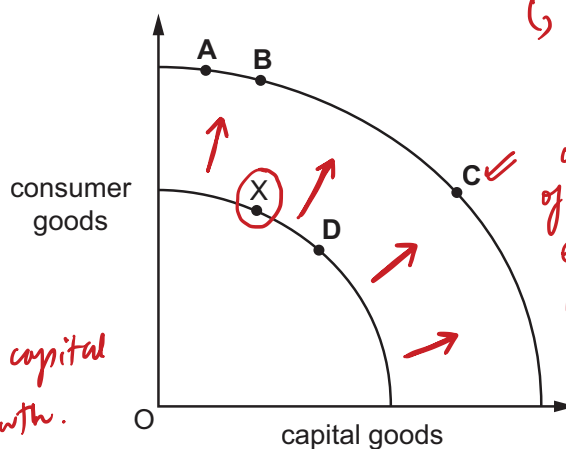
Unlimited wants, limited resources,
Scarcity, choice and opportunity
cost!

1 Which question does not directly refer to the basic economic problem?

- A What goods and services should a firm produce? (What to produce?)
- ☒ B What price should a firm charge? [Not a Basic economic Problem]
- C What production methods should a firm use? (How to produce?)
- D Who should receive the goods and services that a firm produces? (For whom to produce?)

2 The diagram shows the change in an economy's production possibility curve as it grows in the long run.

Which movement from point X is most likely to show the highest potential for growth?



potential ↑

* 'X' to 'A' and 'B',
causes consumer goods
to increase

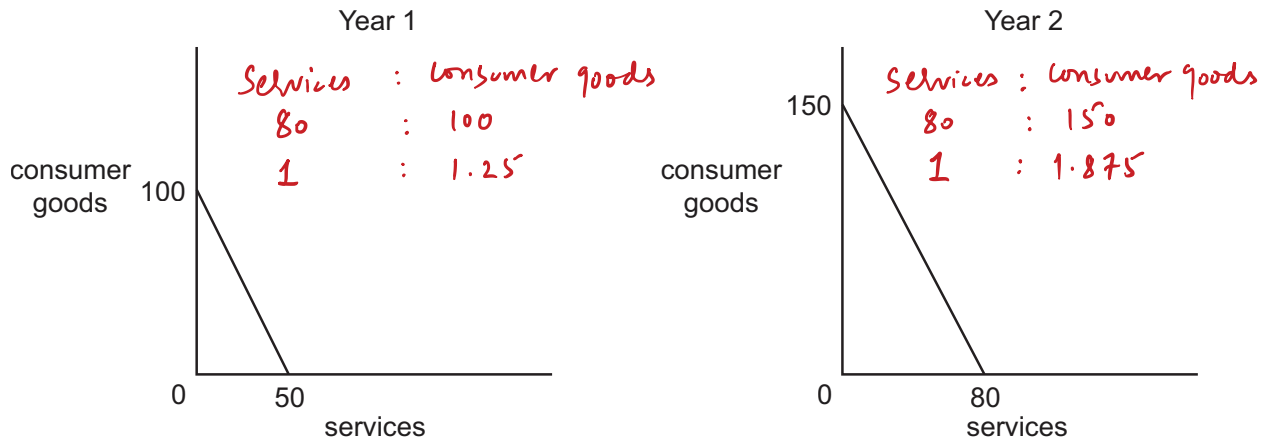
* 'X' to 'C', more of capital
goods, longterm growth.

→ Shift
↳ more of capital goods

* Production possibility
curve shows combination
of output that an
economy can produce
with its given resources!

3

- 3 The diagrams show the change in a country's production possibility curve between Year 1 and Year 2.



What can be concluded from the diagrams?

- A Future growth prospects have been harmed. (capital goods were required for judgement)
- B The level of unemployment has fallen. (concept of actual) (graph is for potential)
- ☒ C The opportunity cost of consumer goods has risen. [1: 1.25 to 1: 1.875] (Yes)
- D The proportionate growth in production is greater in consumer goods.
No Data (Reward)
- 4 What term is used by economists for the income received by the factor of production enterprise?
- A capital (It's a factor of production) (Not income)
- B interest (income of capital)
- ☒ C profit
- D revenue (Profit, not revenue)

Land:- Rent

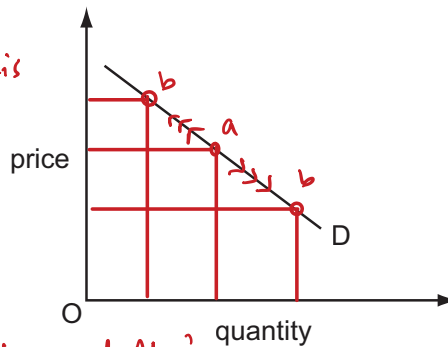
Labour:- Wages

capital:- interest

Enterprise:- profit

- 5 The diagram shows the demand curve for housing.

* Any thing which is written on y-axis and x-axis can't be held constant when drawing the curve.



What is not assumed to remain constant when drawing this curve?

- A consumer incomes (Shift)
- B expectations about future house prices (Shift)
- ☒ C the price of houses [Movement along the demand curve]
- D the rate of interest charged on loans for house purchase (Shift)

- 6 What does not cause the demand curve for cars to shift to the right?

- A a fall in the price of petrol (gas) [Complementary] [Demand ↑]
- ☒ B a fall in the price of public transport [P ↓, QD ↑ ⇒ Public Transport] (Demand for cars ↓)
- C an advertising campaign by car manufacturers (Demand ↑)
- D an economy-wide increase in incomes (Demand ↑) [Income ↑, C ↑]

- 7 An individual reacts to a 5% increase in the price of good X by increasing the proportion of his income that he spends on good X from 2% to 3%.

If there are no other changes, what can be concluded from this about the individual's demand for good X?

- A It is income-elastic.
 - B It is income-inelastic.
 - C It is price-elastic.
 - ☒ D It is price-inelastic.
- (Changes in income on consumption of a good
Question refers to changes in price on consumption)

* Price inelastic, a larger change in price brings a smaller percentage change in quantity demanded.

A larger proportion of income spent on a commodity ⇒ Inelastic demand

A smaller proportion of income spent on a commodity ⇒ Elastic demand

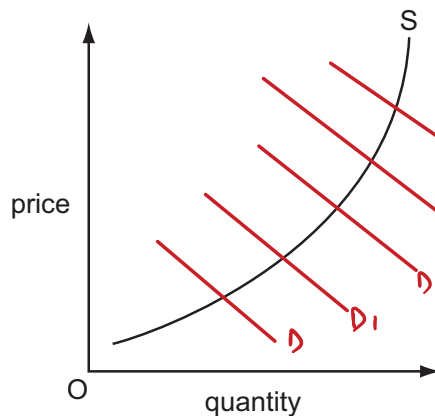
3

- 8 The cross-elasticity of demand for good X with respect to good Y is -0.5. $\Rightarrow$ complements

What can be concluded from this?

- ☒ A Goods X and Y are complementary goods.
☐ B Goods X and Y are substitute goods. (+ve XED)
☐ C Good X is an inferior good. (-ve YED)
☐ D Good Y is an inferior good. (-ve YED)
- $XED = \frac{\% \Delta \text{ in QD of good Y}}{\% \Delta \text{ in price of good X}}$
- * XED measures the responsiveness of the percentage change in quantity demanded of good Y to the percentage change in price of good X.

- 9 The diagram shows a supply curve for beef.



$\Rightarrow$ Supply is getting inelastic as demand is increasing

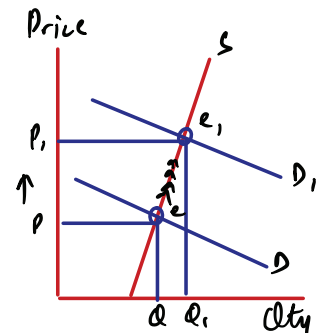
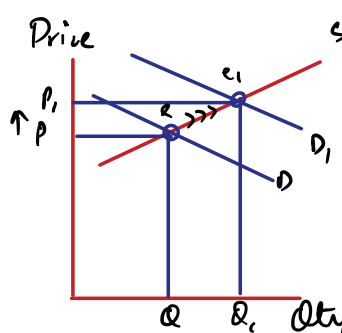
What explains why the supply curve for beef slopes upwards?

- ☐ A An increase in the demand for beef will bring about an increase in supply. (No) (Else elastic supply)
☐ B Farmers' productivity rises as the price rises. (No it doesn't) (Else elastic supply)
☐ C Increased production leads to a reduction in costs. (Shift in supply)
☒ D The cost of additional beef production rises as output increases.
 cost $\uparrow$, thus price increase by greater % than output!
- 10 Which business is likely to be the slowest to alter its output in response to a sustained increase in demand for its product?

- ☐ A a fast-food restaurant
☐ B a household cleaning service
☐ C a newspaper printer
☒ D an oil exploration company

$\hookrightarrow$ It takes time

Elastic supply,
less time required to increase in demand.

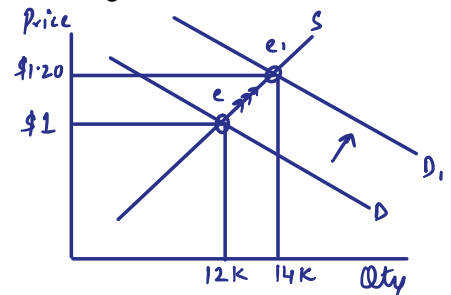


o

- 11 In a particular year, 12 000 units of a good are sold at \$1 per unit. In a later year, 14 000 units are sold at \$1.20 per unit. *Prices ↑ Qty traded ↑ [Demand ↑]*

If consumer tastes have remained constant, what could account for the change between the two years?

- cost ↓, Supply ↑, Prices ↓, Qty traded ↑*
- A a decrease in the price of raw materials used by producers
- ☒ B an increase in the price of a substitute good (*Demand ↑*)
Tax ↑, Cost ↑, Supply ↓, Prices ↑, Qty traded ↓
- C an increase in the rate of tax imposed on producers
- D the formation of a monopoly in the production of the good
Supply ↓, Prices ↑, Qty traded ↓



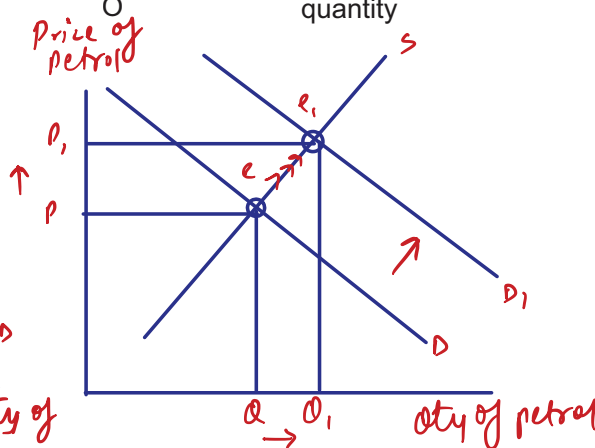
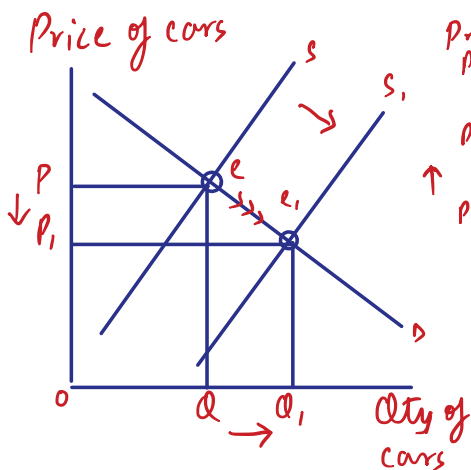
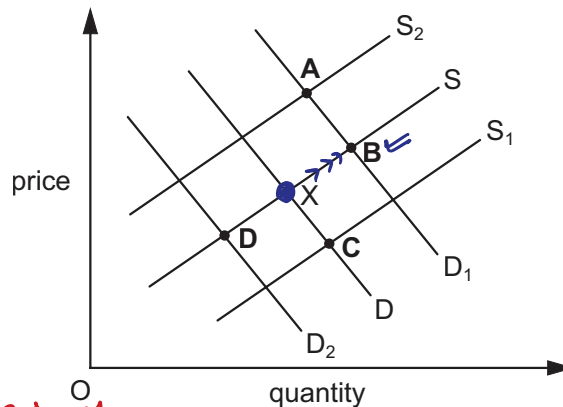
- 12 The diagram shows demand and supply curves for petrol (gas). The initial equilibrium is at X.

What could be the new equilibrium if there were a large fall in the price of cars?

*Prices of cars ↓
Qs of cars ↑*

Demand for petrol ↑

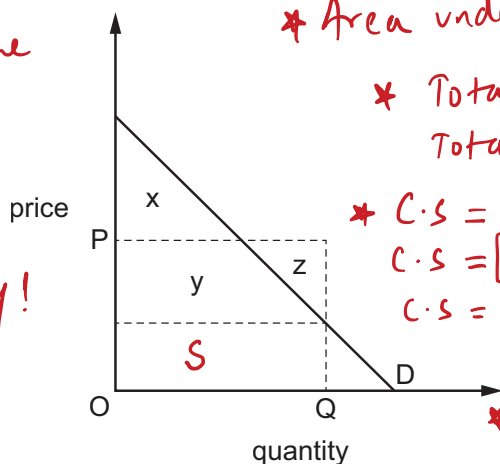
*concept of
complementary
goods*



*Negative Relationship,
between price of
one good and
demand for other
good.*

13 The diagram shows an individual's demand curve for a commodity.

* Consumer Surplus is the difference between the amount which you are willing to pay and the amount you actually pay!



* Area under the demand $\Rightarrow$ Satisfaction

* Total satisfaction is $X + Y + S$

Total Expenditure is $Y + S + Z$

* $C.S = T.S - T.E$

$C.S = [X + Y + S] - [Y + S + Z]$

$C.S = X - Z$

* Limit, $C.S = X - Z$

* Without limit, $C.S = X$

The supplier of the commodity charges a unit price of OP but consumers are currently required to purchase a minimum quantity, OQ.

Which area(s) in the diagram measure the net gain in consumer surplus from the removal of the minimum purchase requirement?

A $x + y$

B $x - z$

C y only

☒ D z only

Government (Public sector)

14 In 2011, the Health Ministry in a country encouraged parents to have their children vaccinated against measles. The parents did not have to use the vaccine and did not have to pay for it.

choice (opportunity cost)

The government cancelled other projects to fund the programme from taxation because research concluded that the vaccine benefited the community by preventing the spread of a serious illness.

Which concepts are implied in the above statement?

External benefit

☒ A external benefit, public sector, opportunity cost

B *No* market mechanism, fiscal policy, public good

C *No* merit good, normative statement, regulatory control

D private cost, social benefit, *No* monetary policy

PC + PB

EB

15 A gardener plants bamboo to create an attractive environment along the roadside. The bamboo grows into the garden of his neighbour, who removes the bamboo with a chemical spray.

External cost

What cannot be concluded about the outcome of the planting?

A It increases *Yes* external cost and *Yes* external benefit.

B It increases *Yes* private cost and *Yes* private benefit.

C It increases *Yes* social cost and *Yes* social benefit.

☒ D It increases *No* social cost more than *No* social benefit.

Social cost = Private cost + External cost

Social Benefit = Private Benefit + External Benefit

Not part of your course "Skip it" °

16 A cost-benefit analysis of a proposed underground railway produced the following statistics.

$$SB = 6 + 5 + 10 + 7 = 28$$

$$SC = 10 + 3 = 13$$

$$Net SB = SB - SC$$

$$Net SB = 28 - 13$$

$$Net SB = \$15 \text{ million}$$

annual costs and benefits	\$ million
annual capital <u>cost</u>	10
operating and maintenance <u>costs</u>	3
fare <u>revenue</u>	6
<u>savings</u> to private travellers	5
<u>savings</u> to business	10
<u>other economic benefits</u>	7

$$Net SB = SB - SC$$

$$SB = PB + EB$$

$$SC = PC + EC$$

Benefits

What can be concluded from the statistics?

- A If undertaken by the private sector there would be a loss of \$13 million.
- B If undertaken by the private sector there would be a profit of \$3 million.
- ☒ C If undertaken by the public sector there would be a net social benefit of \$15 million.
- D If undertaken by the public sector there would be a net social cost of \$1 million.

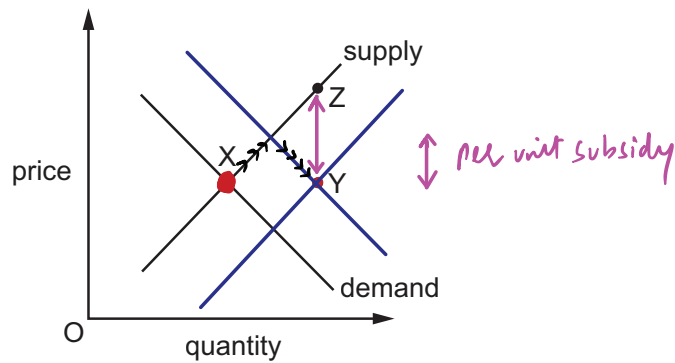
17 What is the best example of what was once a public good becoming a private good?

- | | | |
|---|--------------------------------------|------------|
| A education (mixed) | ↓ | ↓ |
| B medical care (mixed) | Non-Rival | Rival |
| C postal services (mixed) | Non-Excludable | Excludable |
| ☒ D television broadcasts | Non-Rejectable
Free rider problem | Rejectable |

* If once a public good is now a private good, that means now the firm has the ability to exclude non-payers

9

- 18 The diagram shows the market for onions in equilibrium at point X. The government has a stock of onions and wants to establish a new equilibrium at point Y.



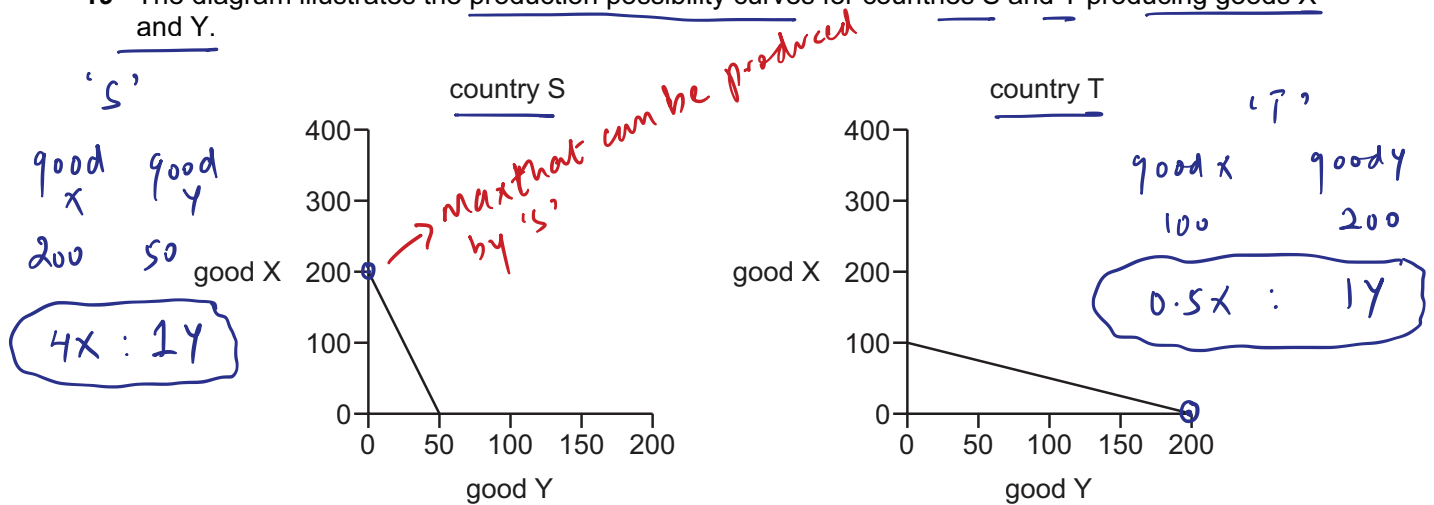
Which actions should the government take?

- ☒ **A** It should buy an amount equal to XY and subsidise producers by a sum equal to YZ.
- B** It should buy an amount equal to XY and tax producers by a sum equal to YZ.
- C** It should sell an amount equal to XY and subsidise producers by a sum equal to YZ.
- D** It should sell an amount equal to XY and tax producers by a sum equal to YZ.

per unit subsidy
↓
supply ↑

10

- 19 The diagram illustrates the production possibility curves for countries S and T producing goods X and Y.



'ER'

$2X : 1Y$

Countries S and T specialise in the product for which they have the lower opportunity cost. They trade with each other at the rate of two good X for one good Y.

comparative Advantage

What is a possible combination of goods for country S to consume after specialisation and trade have taken place?

	good X	good Y
☒ A	100	50
☒ B	150	75
☒ C	200	100
☒ D	300	150

⇒ 100X given by 'S', $2X : 1Y$, For 100X, 50Y will be received!

⇒ 50X given by 'S', $2X : 1Y$, For 50X, 25Y can be received

⇒ Country 'S' needs to provide some of good X to have good Y

⇒ Country 'S' can't produce more than '200'

Trade will not take place

Free trade 'vs' Protectionism

- 20 What is the most likely reason why Pakistan might reduce its trade barriers on imports?

- ☒ A to help Pakistan increase its gain from comparative advantage [Lower opportunity cost]
- ☐ B to help Pakistan invest more abroad (No)
- ☐ C to raise its foreign exchange rate [Appreciation will make Pakistan's goods expensive]
- ☐ D to reduce government borrowing and international debt (No)

* Reducing protectionism represents moving its economy towards free trade, which causes specialization and take comparative advantage in trading

11

- 21 A particular good in the Barbados market could be supplied by domestic producers, or producers in Trinidad & Tobago, or producers in the USA, at the prices shown in US dollars.

origin of production	price
Barbados	\$1.00
Trinidad & Tobago	\$0.85
USA	\$0.75

* Cheapest to Barbados before custom union is USA "\$0.75" while T and T has "\$0.85"

Originally, Barbados had a 20% ad valorem duty on imports from Trinidad & Tobago and the USA.

Barbados then formed a customs union with Trinidad & Tobago, with a common external tariff, also of 20%.

From which countries would Barbados import the good, before the formation of the customs union and after the formation of the customs union?

	before	after
A	neither	Trinidad & Tobago
B	neither	USA
☒ C	USA	Trinidad & Tobago
D	USA	USA

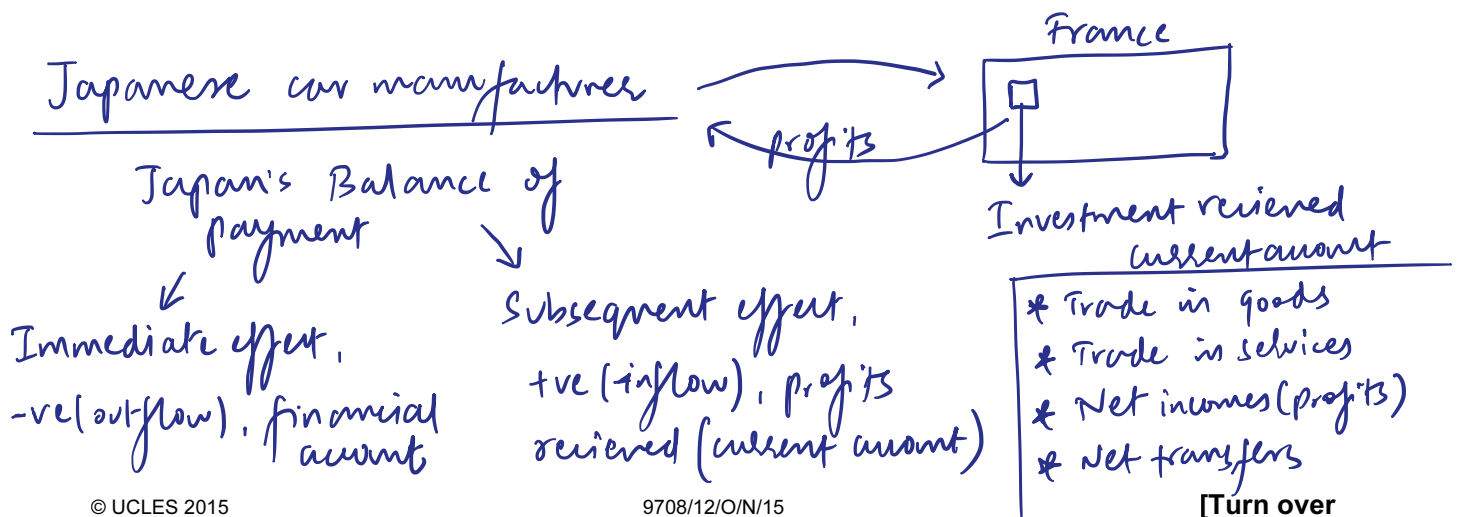
* Custom union is formed with T and T because there are gain trading with it, and also with common external Tariffs. USA will be expensive for Barbados.

- 22 A Japanese car manufacturer established a successful factory in France.

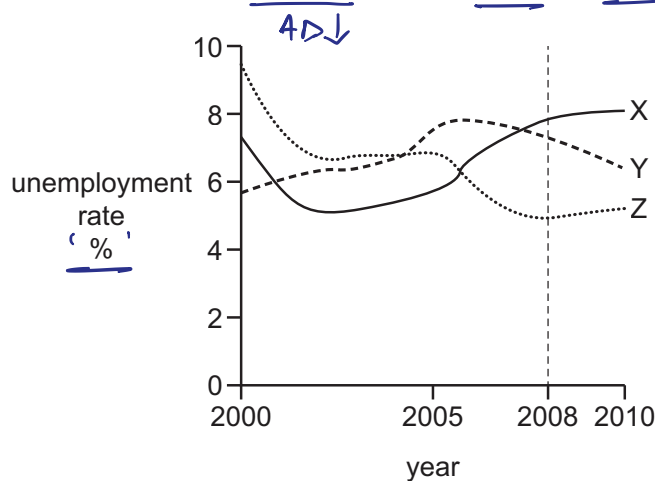
How would this be shown in the Japanese balance of payments?

	investment in the factory	dividends and profits from the factory
☒ A	negative entry in the financial account	positive entry in the current account
B	negative entry in the current account	positive entry in the financial account
C	positive entry in the financial account	negative entry in the current account
D	positive entry in the current account	negative entry in the financial account

current account
capital account
financial account

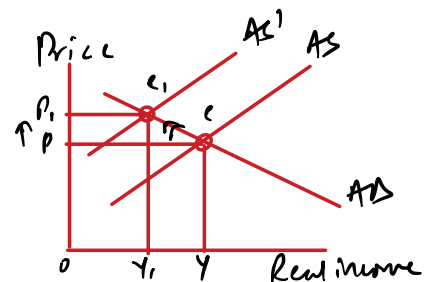


- 23 The graph shows changes in the unemployment rates in countries X, Y and Z over the period 2000 to 2010. All three countries faced recession between 2008 and 2010.



Which conclusion can be drawn from the graph about the period 2000 to 2010?

- A All three countries experienced an upward trend in unemployment over the period. ^{no}
- B Country X had the highest number out of work in 2010. (Data in percentage)
- ☒ C In terms of unemployment, the country least harmed by the recession was country Y. [Rate is decreasing]
- D The total number out of work in the three countries was higher in 2010 than in 2000.
Data in percentage
- 24 Which supply-side measure is most likely to produce short-run growth in a country's aggregate supply? [AST↑]
- ☒ A easing of controls on immigration of workers (Labour force ↑, output ↑)
- B expenditure on primary education (long term)
- C expenditure on research and development (long term)
- D privatisation of public utilities (output ↓) (Prices ↑)
- 25 An economy is experiencing accelerating cost-push inflation. (AS ↓)



Which group is likely to be least concerned by this?

- ☒ A borrowers [Less to be returned in terms of value of money]
- B consumers (Prices ↑, real income ↓, consumption ↓) (most concerned)
- C creditors (Prices ↑, amount received will have less value) (most concerned)
- D exporters (cost ↑, AS ↓, prices ↑, product expensive) (most concerned)

26 The table shows the Consumer Price Index (CPI) for a country.

year	CPI
2008	100
2009	104
2010	102
2011	105
2012	108
2013	111

Apply $\frac{\text{New} - \text{old}}{\text{old}} \times 100$

4%
-1.92% (deflation)
2.94%
2.85%
2.77% (lowest rise in prices)

Which statement about the period 2008 to 2013 is correct?

- A Prices increased each year. (No) (Not in 2010)
B Prices increased fastest in 2011. (No) (In 2009)
C The rate of inflation was 2% in 2010. (No) (-1.92%)
D The smallest rise in prices was in 2013.

27 At a time when international demand for oil was high, Bolivia encouraged investment by foreign firms in order to exploit its oil and gas resources.

What overall impact would this have on the balance of payments of Bolivia?

- A definitely favourable, as Bolivia could increase its exports of gas and oil
B definitely unfavourable, as the foreign companies would transfer profits out of the country
C uncertain, as there would be inflows and outflows of currency (Investments but profits) (Immediate and subsequent effect)
D 'zero', as Bolivia itself would use the gas and oil produced (It's for international market)
Option 'A' and 'B' both will occur

28 An economy with a fixed exchange rate experiences an increased deficit on the current account of the balance of payments.

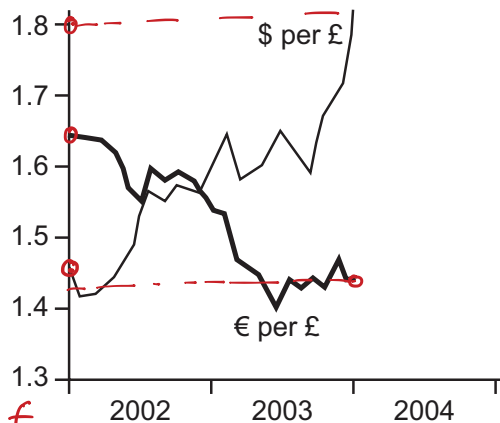
What is most likely to increase as a consequence?

- A employment (falls) (As deficit exists)
B interest rates
C investment (falls)
D national output (falls) (Demand ↓)

payments made > payment received
↓
depreciation
Supply of currency ↑
Demand for currency ↓

interest rate ↑
FDI ↑ ⇒ Demand for currency ↑
Domestic residents ⇒ call back their currency ⇒ Supply of currency ↓
Fixed Exchange rate maintained!

- 29 The diagram shows the number of US dollars (\$) and Euros (€) which exchanged for one pound sterling (£) between 2002 and 2004.



\$ per £
 \$1.45 : 1
 \$1.8 : 1
 Depreciation Appreciation

\$ depreciates against £
 £ depreciates against €
 Thus \$ depreciates against €

€ per £
 1.65 : 1
 1.42 : 1
 Appreciate: Depreciate

What happened to the exchange rate of the \$ against the £ and € during this period?

	\$ exchange rate against £	\$ exchange rate against €
A	appreciated	appreciated
B	appreciated	depreciated
C	depreciated ✓	appreciated
☒ D	depreciated ✓	depreciated

Just like '22' and '27'

- 30 In a time of recession, a government decided to sell a loss-making state-owned industry to a foreign private company.

What is the **most** likely immediate result?

- ☒ A an improvement in the financial account of the balance of payments
 B an improvement in the level of unemployment (No) (It's a private company)
 C an improvement in the rate of inflation (No)
 D an improvement in the trade account of the balance of payments (No)

* foreign private company purchased.

Immediate effect, inflow received, + sign, credit, financial account

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